

26STCP02800 26STCP02800

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-09-03

Motion: PETITIONER'S MOTION FOR AN ORDER APPROVING TRANSFER OF STRUCTURED SETTLEMENT
PAYMENT RIGHTS

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Case Number: 26STCP02800 Hearing Date: September 3, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

In Re Petition Of:

PEACHTREE SETTLEMENT FUNDING, LLC,

Petitioner.

(Real Party in Interest: Joel Magallon)

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CASE

NO.: 26STCP02800

[TENTATIVE] ORDER RE:

PETITIONER'S MOTION FOR AN

ORDER APPROVING TRANSFER OF STRUCTURED SETTLEMENT PAYMENT RIGHTS

Dept. 733

8:30 a.m.

September 3, 2026

I.

INTRODUCTION

On July 24, 2026, Petitioner Peachtree
Settlement Funding, LLC ("Petitioner") filed the

instant Petition for Approval of Transfer of Structured
Settlement Payment Rights. The Petition requests that
Payee, Joel Magallon, receive \$12,100.00 in
exchange for the selling of the rights to and interest in the following
payments: 80 monthly payments of \$400.00 each, beginning on
January 15, 2028 and ending on August 15, 2034. (See Petition, Ex. A [structured settlement payments
purchase agreement].)

No opposition has been filed.

II.

LEGAL STANDARD

California

Insurance Code section 10139.5 provides that a transfer of structured settlement payment rights is not effective unless the transfer has been approved in advance in a final court order based on the following express findings by the court that:   

1.

The transfer is in the best interest of the payee,   taking into account   the welfare and support of the payee's dependents.   

2.

The payee has been advised in writing by the transferee to seek independent professional advice regarding the transfer and has either received that advice or knowingly waived that advice in writing.   

3.

The transferee has provided the payee with a disclosure form that complies with Section 10136 and the transfer agreement complies with Sections 10136 and 10138.   

4.

The transfer does not contravene any applicable statute or the order of any court or other government authority.   

5.

The payee reasonably understands the terms of the transfer agreement, including the terms set forth in the disclosure statement required by Section 10136.   

6.

The payee understands and does not wish to exercise the payee's right to cancel the transfer agreement.   

(Ins. Code  
10139.5(a).)   

   When determining whether the proposed

transfer should be approved, including whether the transfer is fair, reasonable, and in the payee's best interest, the court shall consider the totality of the circumstances, including, but not limited to: (1) the reasonable preference and desire of the payee to complete the proposed transaction, taking into account the payee's age, mental capacity, legal knowledge, and apparent maturity level; (2) the stated purpose of the transfer; (3) the payee's financial and economic situation; (4) the terms of the transaction, including whether the payee is transferring monthly or lump sum payments or all or a portion of his or her future payments; (5) whether the future periodic payments were intended to pay for future medical care of the payee related to the incident that was the subject of the settlement; (6) whether the payee has other means of income or support sufficient to meet the payee's future financial obligations for support of payee's dependents, such as child support; (7) whether there were previous transactions involving payee's structured settlement payments; and (8) whether the payee and his or her dependents are facing a hardship situation. (Ins. Code § 10139.5(b).)    

   Procedurally, Insurance Code section

10136 provides that ten or more days before the payee executes a transfer agreement, the transferee shall provide the payee   with a separate written disclosure statement, accurately completed with the information that applies to the transfer agreement in at least 12-point type. (Ins. Code § 10136(b).)     

The court-approval process requires the transferee to file a petition in the county in which the transferor resides for approval of the transfer.   (Ins. Code § 10139.5(f)(1).)   In addition, the following elements are required to be served and filed not less than 20 days prior to the scheduled hearing on any application for approval of a transfer of structured settlement payment rights:   

A.

A copy of the transferee's current and any prior petitions.   

B.

A copy of the transfer agreement.   

C.

A listing of each of the payee's dependents, together with each dependent's age.   

D.

A copy of the disclosure required in
subdivision (b) of Section 10136.ﺥﺥ

E.

A copy of the annuity contract, if
available.ﺥﺥ

F.

A copy of any qualified assignment
agreement, if available.ﺥﺥ

G.

A copy of the underlying structured
settlement agreement, if available.ﺥﺥ

H.

If a copy of a document described in
subparagraph (E), (F), or (G) is unavailable or cannot be located, then the
transferee is not required to attach a copy of that document to the petition or
notice of the proposed transfer if the transferee satisfies the court that
reasonable efforts to locate and secure a copy of the document have been made,
including making inquiry with the payee. If the documents are available, but
contain a confidentiality or nondisclosure provision, then the transferee shall
summarize in the petition the payments due and owing to the payee, and, if
requested by the court, shall provide copies of the documents to the court at a
scheduled hearing.ﺥﺥ

I.

Proof of service showing compliance
with the notification requirements of this section.ﺥﺥﺥ

J.

Notification that any interested party
is entitled to support, oppose, or otherwise respond to the transferee's
application, either in person or by counsel, by submitting written comments to
the court or by participating in the hearing.ﺥﺥ

K.

Notification of the time and place of

the hearing and notification of the manner in which and the time by which written responses to the application must be filed, which may not be less than 15 days after service of the transferee's notice, in order to be considered by the court.

L.

If the payee entered into the structured settlement at issue within five years prior to the date of the transfer agreement, then the transferee shall provide notice to the payee's attorney of record at the time the structured settlement was created, if the attorney is licensed to practice in California, at the attorney's address on file with the State Bar of California. The notice shall be delivered by regular mail.

(Ins. Code § 10139.5(f)(2))

Lastly, the court shall retain continuing jurisdiction to interpret and monitor the implementation of the transfer agreement as justice requires. (Ins. Code § 10139.5(i)).

III.

DISCUSSION

Petitioner seeks approval of the transfer of structured settlement payment rights. Real Party in Interest Joel Magallon ("Magallon") agreed to sell to Petitioner future payments totaling thirty-two thousand dollars (\$32,000.00), obtained from a settlement of a personal injury lawsuit, in exchange for a purchase price of twelve thousand and one hundred dollars (\$12,100.00).

The original settlement from the personal injury action, entered in 2024, required one 80 monthly payments of \$400.00, commencing on January 15, 2028 and ending on August 15, 2034. Based on the information

provided, the Court finds that the transfer of the settlement payment is reasonable and in the best interest of the payee. Magallon is 40 years old, single, with one minor child, and is unemployed. (Magallon Decl., ¶ 8.) He also receives payments of \$2,500.00 a month from his annuity and disability. (Ibid.) He intends to use the funds for future rent payments and everyday living expenses. (Id. ¶ 11.)

Magallon does not have child support obligations, and he has been advised by Petitioner of his right to seek independent counsel and financial advice in connection with the petition for court approval of the transfer agreement. (Id. ¶¶ 8, 12, Ex. E [waiver].) He understands the nature and terms of the transaction and entered into this agreement with Petitioner out of his own free will and volition. (Id. ¶ 13.)

When looking at the factors under California Insurance Code § 10139.5 as well as the Declaration of Magallon, the transfer is appropriate. 22

Therefore, the Petition for Approval for Transfer of Payment Rights is granted. 22

IV. CONCLUSION

For the foregoing reasons, the Petition for Approval for Transfer of Payment Rights is GRANTED. 22

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Moving Party to give notice.

Dated this 3rd
day of September 2026

Hon. Gary
D. Roberts

Judge

of the Superior Court